

LoanServe — Balance Transfer Policy

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Scope and Application

This policy governs a loan taken over from another lender at the borrower's request. It applies to home loans and to vehicle loans, and does not apply to gold or personal loans. The takeover is of the outstanding principal only, and any charge the existing lender levies is the borrower's to settle. A takeover is assessed as a fresh loan and is not a continuation of the existing one.

Eligibility

A balance transfer is accepted after the borrower has paid at least twelve instalments to the existing lender. The existing loan must have no overdue instalment at the time of transfer. A minimum outstanding of Rs 5,00,000 is required for a home loan balance transfer.

Charges and Timeline

A balance transfer processing fee of 0.50 percent of the transferred amount applies, subject to a maximum of Rs 15,000. The transfer is completed within twenty one working days of receiving the foreclosure letter from the existing lender.

Documents

A list of documents held by the existing lender must be submitted along with the transfer request.

Assessment

The borrower's repayment record with the existing lender is obtained from the credit bureau and from the existing lender's statement. The security is valued afresh and the loan to value ratio is applied to the new valuation. Repayment capacity is assessed under the Eligibility Norms without counting the loan being taken over as an existing obligation. A takeover is declined where the existing loan has been restructured in the preceding twenty four months.

The Takeover Process

A sanction is issued conditional on the existing lender's foreclosure letter and on the security being released to LoanServe. Payment is made directly to the existing lender and never to the borrower. The security documents are collected from the existing lender by an authorised officer against acknowledgement. Where the existing lender delays release beyond sixty days, the sanction lapses and must be revalidated.

After Takeover

The first instalment falls due in the month following the takeover payment. The tenure offered may be shorter than the remaining tenure with the existing lender but is never longer than the product maximum. A borrower may take a top-up only after twelve months of satisfactory repayment with LoanServe. The credit bureau record shows the previous account closed and the new account opened, and the borrower should verify this after sixty days.

Definitions

'Transferred amount' means the outstanding principal taken over from the existing lender on the date of takeover. 'Foreclosure letter' means the closure statement issued by the existing lender showing what is required to close the loan.

Worked Example

On a transferred amount of Rs 40,00,000 the processing fee of 0.50 percent works out to Rs 20,000, which exceeds the cap. The fee charged is therefore Rs 15,000.

Exceptions and Discretion

The requirement of twelve instalments paid to the existing lender is not waived. The minimum outstanding for a home loan takeover may be relaxed where the borrower is an existing LoanServe customer on another product. A takeover of a loan that is overdue on the date of application is declined without exception. Any relaxation is approved a level above the sanctioning authority.

Records and Evidence

The foreclosure letter, the list of documents received and the acknowledgement given to the existing lender are retained for the life of the loan. A copy of the existing lender's statement showing the repayment record is retained on the account file. The borrower is given a receipt for every original document collected on their behalf.

Related Policies

The Balance Transfer Policy should be read with: Interest Rate Policy, Insurance Linkage Policy.

Regulatory and Compliance Notes

This policy follows the directions requiring lenders to release security documents promptly on closure and to hand them over without avoidable delay. Where the existing lender delays release, LoanServe assists the borrower in pursuing the matter but the loan stands sanctioned in the meantime. No charge is levied by LoanServe for collecting documents from the existing lender.

Review and Governance

Owned by the Portfolio Growth team and reviewed every six months against the rates offered elsewhere in the market.